

Group Assignment 2: Exchange Rate Forecast using Interest Rate Parity

Forecasting exchange rates can be a critical component in a MNCs management of its foreign exchange exposure. In this project you will a forecast of your assigned currency from the latest spot rate.

Divide your project and presentation into the following two sections.

(1) Provide a forecast of your currency (against the U.S. dollar) based on interest rate parity conditions. Note: this will require you to search and find information on interest rates online as well as the current spot rate. Show the appropriate data (along with its source), the IRP formulas used and the formula results. Do this for at least 2 time-horizons (e.g., 3-month, 6-month or 1 year) and make sure you provide a precise definition of what interest rates you are using as well as a citation to the source of the data.

(2) Find the actual forward rates for the currencies and time horizons used in parts 1 and 2. Compare your forecasts to these actual forward rates. If they differ, provide some reasons why your parity forecasts differ from the actual forward rates.